19 The information provided below was obtained from Hopplo plc's financial statements for the year ended 31 March 2021.

(i) Calculate the following ratios for the two accounting years:

(a) Return on Capital Employed (ROCE) [2]

(b) Gross profit percentage [2]

(c) Distribution costs as a percentage of revenue. [2]

(ii) Assess Hopplo's performance for the year ended 31 March 2021. [9]

(iii) Discuss the difficulties in assessing Hopplo's performance on the basis of the information provided. [5]

[Total 20]

Hopplo plc

Statement of Profit or Loss
for the year ended 31 March

	2021	2020
	$000	$000
Revenue	22,427	19,502
Cost of sales	(7,177)	(7,411)
Gross profit	15,250	12,091
Distribution costs	(2,467)	(1,365)
Administrative expenses	(1,121)	(1,170)
Operating profit	11,662	9,556
Finance costs	(6,080)	(3,360)
Profit before tax	5,582	6,196
Income tax expense	(1,228)	(1,363)
Profit for the year	4,354	4,833

Hopplo plc

Statement of Financial Position
as at 31 March

	2021	2020
	$000	$000
ASSETS		
Non-current assets		
Property, plant and equipment	181,000	146,000
Current Assets		
Inventory	658	680
Trade receivables	1,869	1,625
Cash at bank	43	340
	2,570	2,645
Total assets	183,570	148,645
EQUITY AND LIABILITIES		
Equity		
Called-up share capital	70,000	70,000
Share premium account	20,000	20,000
Retained earnings	15,792	14,706
Total equity	105,792	104,706
Non-current liabilities		
Borrowings	76,000	42,000
Current liabilities		
Trade payables	598	618
Tax	1,180	1,321
	1,778	1,939
Total of equity and liabilities	183,570	148,645